CIA Part 1 – Ethics & Professionalism

100 Hard Questions with Detailed Explanations

Study Deck

October 15, 2026

Format & Coverage

100 hard questions on Ethics & Professionalism.

Each question is followed by a detailed explanation slide.

Coverage: IIA Code of Ethics (Principles & Rules of Conduct), objectivity, conflicts of interest, gifts/hospitality, confidentiality, competency, CPD, professional skepticism, due care, independence vs. objectivity, impairment disclosure, whistleblowing, ethical decision frameworks, and disciplinary actions.

Q1

Question: The IIA Code of Ethics applies to:

A. Only CIA-certified internal auditors.

B. All individuals and entities that provide internal audit services.

C. Only CAEs.

D. Only members of the IIA.

Correct Answer: B

Q1 – Explanation

Correct: B. The Code applies to all individuals and entities performing internal audit services, including IIA members, CIA holders, and those who provide internal audit services under the Standards.

A wrong: Non-certified internal auditors are also bound.

C wrong: It applies to all internal auditors, not just CAEs.

D wrong: It extends beyond IIA membership to anyone providing internal audit services.

Q2

Question: How many principles are in the IIA Code of Ethics?

A. Two.

B. Three.

C. Four.

D. Five.

Correct Answer: C

Q2 – Explanation

Correct: C. Four principles: Integrity, Objectivity, Confidentiality, and Competency.

A wrong: Two is too few.

B wrong: Three is incorrect.

D wrong: Five is incorrect – a common distractor.

Q3

Question: Which is NOT one of the four principles of the IIA Code of Ethics?

A. Integrity.

B. Objectivity.

C. Independence.

D. Confidentiality.

Correct Answer: C

Q3 – Explanation

Correct: C. Independence is a Standard/attribute concept, not one of the four Code principles.

A wrong: Integrity is a principle.

B wrong: Objectivity is a principle.

D wrong: Confidentiality is a principle.

Q4

Question: The Code of Ethics has two essential components:

A. Principles and Rules of Conduct.

B. Laws and Regulations.

C. Standards and Guidelines.

D. Policies and Procedures.

Correct Answer: A

Q4 – Explanation

Correct: A. The Code consists of Principles (conceptual) and Rules of Conduct (behavioral expectations).

B wrong: Laws/regulations are external to the Code.

C wrong: Standards are separate from the Code.

D wrong: Policies/procedures are organizational.

Q5

Question: Which principle requires internal auditors to perform work with honesty, diligence, and responsibility?

A. Integrity.

B. Objectivity.

C. Confidentiality.

D. Competency.

Correct Answer: A

Q5 – Explanation

Correct: A. Integrity requires honesty, diligence, and responsibility; observing the law; and not knowingly being part of illegal or discreditable activity.

B wrong: Objectivity concerns bias and conflicts.

C wrong: Confidentiality concerns information protection.

D wrong: Competency concerns skills and CPD.

Q6

Question: An internal auditor must not accept anything that impairs or appears to impair professional judgment. This relates to:

A. Integrity.

B. Objectivity.

C. Confidentiality.

D. Competency.

Correct Answer: B

Q6 – Explanation

Correct: B. Objectivity prohibits accepting gifts, participating in activities, or having relationships that impair – or appear to impair – unbiased judgment.

A wrong: Integrity is about honesty, not gifts.

C wrong: Confidentiality concerns information.

D wrong: Competency concerns skills.

Q7

Question: An auditor must be prudent in the use and protection of information acquired. This relates to:

A. Integrity.

B. Objectivity.

C. Confidentiality.

D. Competency.

Correct Answer: C

Q7 – Explanation

Correct: C. Confidentiality requires prudence in the use/protection of information and prohibits disclosing information without authority (unless legally/ professionally required).

A wrong: Integrity concerns honesty.

B wrong: Objectivity concerns bias.

D wrong: Competency concerns skills.

Q8

Question: Auditors must engage only in services for which they have the necessary knowledge, skills, and experience. This relates to:

A. Integrity.

B. Objectivity.

C. Confidentiality.

D. Competency.

Correct Answer: D

Q8 – Explanation

Correct: D. Competency requires the knowledge, skills, and experience needed, and performing services only when competent (or obtaining competent advice).

A wrong: Integrity concerns honesty.

B wrong: Objectivity concerns bias.

C wrong: Confidentiality concerns information.

Q9

Question: An internal auditor is offered a modest gift by an audit client that could be seen as influencing judgment. The auditor should:

A. Accept it, since it is modest.

B. Decline it, or disclose to the CAE.

C. Accept it but disclose after the engagement.

D. Give it to a colleague.

Correct Answer: B

Q9 – Explanation

Correct: B. The auditor should decline or disclose to the CAE. Even the appearance of impairment violates Objectivity.

A wrong: Modesty does not remove the appearance of impairment.

C wrong: Disclosure must be before acceptance, not after.

D wrong: Redirecting does not solve the ethical issue.

Q10

Question: Which of the following is a Rules of Conduct requirement under Objectivity?

A. Shall not participate in any activity that may impair unbiased assessment.

B. Shall be prudent in the use of information.

C. Shall engage only in services for which they are competent.

D. Shall perform work with honesty.

Correct Answer: A

Q10 – Explanation

Correct: A. Objectivity's rules prohibit activities/relationships that impair unbiased assessment and require disclosure of material facts.

B wrong: That's Confidentiality.

C wrong: That's Competency.

D wrong: That's Integrity.

Q11

Question: An auditor discovers fraud during an engagement. Under Integrity, they must:

A. Ignore it if immaterial.

B. Report it appropriately and not be part of illegal activity.

C. Hide it to protect the company.

D. Discuss it only with the suspect.

Correct Answer: B

Q11 – Explanation

Correct: B. Integrity requires reporting and refusing to be part of illegal/discreditable activity.

A wrong: Fraud is never ignored.

C wrong: Hiding is unethical.

D wrong: Confronting the suspect can compromise the investigation.

Q12

Question: Which is the correct order of the ethical decision-making process?

A. Identify facts, define ethical issue, identify principles, evaluate options, act.

B. Act first, then justify.

C. Ignore the issue if minor.

D. Ask a colleague and act on their advice.

Correct Answer: A

Q12 – Explanation

Correct: A. A structured ethical framework: gather facts, define the issue, apply the Code's principles, evaluate alternatives, decide, and act.

B wrong: Acting first is reckless.

C wrong: Ignoring is not a framework.

D wrong: Colleague input helps but isn't the framework.

Q13

Question: The CAE is asked to approve an audit of a process she previously managed. She should:

A. Proceed, since she knows the process.

B. Decline to lead; assign to another auditor and disclose.

C. Delegate to a subordinate without disclosure.

D. Ignore the conflict.

Correct Answer: B

Q13 – Explanation

Correct: B. Objectivity is impaired; the CAE must disclose and assign the engagement to an auditor without the conflict.

A wrong: Prior involvement impairs objectivity.

C wrong: Delegation without disclosure hides the conflict.

D wrong: Conflicts cannot be ignored.

Q14

Question: Which best describes a conflict of interest?

A. A situation where an auditor's personal interests could improperly influence judgment.

B. A disagreement with management.

C. A difference of opinion on audit scope.

D. A budget dispute.

Correct Answer: A

Q14 – Explanation

Correct: A. A conflict of interest exists when personal, financial, or other interests could improperly influence professional judgment.

B wrong: Disagreement is not automatically a conflict.

C wrong: Scope differences are professional, not conflicts.

D wrong: Budget disputes are administrative.

Q15

Question: Which is the best way to manage a conflict of interest?

A. Ignore it if minor.

B. Disclose it and recuse if necessary.

C. Hide it.

D. Delegate without disclosure.

Correct Answer: B

Q15 – Explanation

Correct: B. Disclosure and, if needed, recusal are the standard responses.

A wrong: Ignoring is not acceptable.

C wrong: Hiding violates the Code.

D wrong: Delegation without disclosure hides the issue.

Q16

Question: An auditor's spouse owns shares in a company the auditor is assigned to audit. The auditor should:

A. Proceed, since the spouse owns the shares.

B. Disclose and decline the assignment.

C. Sell the shares after the audit.

D. Ignore it.

Correct Answer: B

Q16 – Explanation

Correct: B. A close family member's financial interest creates a conflict; disclose and recuse.

A wrong: The conflict exists regardless of who owns the shares.

C wrong: Selling after the fact doesn't fix the impairment during the audit.

D wrong: Cannot be ignored.

Q17

Question: An internal auditor was previously the manager of the department being audited. The auditor should:

A. Audit the department since they know it best.

B. Decline the assignment and disclose to the CAE.

C. Audit only the parts they didn't manage.

D. Review their own prior work.

Correct Answer: B

Q17 – Explanation

Correct: B. Auditing one's own prior work impairs objectivity; decline and disclose.

A wrong: Familiarity creates bias.

C wrong: Partial audits still create impairment.

D wrong: Reviewing own work is a self-review threat.

Q18

Question: Which is the best description of "professional skepticism"?

A. Assuming management is dishonest.

B. A questioning mind and critical assessment of evidence.

C. Ignoring evidence.

D. Relying on prior-year conclusions.

Correct Answer: B

Q18 – Explanation

Correct: B. Professional skepticism is a questioning mind, alertness to conditions suggesting misstatement, and critical evaluation of evidence.

A wrong: It is not cynicism.

C wrong: Ignoring evidence is the opposite.

D wrong: Prior conclusions must be re-validated.

Q19

Question: An auditor is asked by the CEO to change a finding in the report. The auditor should:

A. Change it as instructed.

B. Decline if the change would misrepresent facts, and escalate if needed.

C. Ignore the request and issue the report.

D. Resign.

Correct Answer: B

Q19 – Explanation

Correct: B. Integrity requires refusing to misrepresent facts; escalate through the CAE/audit committee if pressured.

A wrong: Changing facts violates Integrity.

C wrong: Escalation is needed for a serious request.

D wrong: Resignation is a last resort.

Q20

Question: Which of the following is a violation of Confidentiality?

A. Discussing audit findings in a public cafeteria.

B. Sharing findings with the audit committee.

C. Sharing findings with the external auditor with authorization.

D. Disclosing information required by law.

Correct Answer: A

Q20 – Explanation

Correct: A. Public discussion of confidential findings violates Confidentiality.

B wrong: Audit committee reporting is authorized.

C wrong: Authorized sharing is permitted.

D wrong: Legal disclosure is required.

Q21

Question: An auditor leaves a laptop with client data on a train. This most directly violates:

A. Integrity.

B. Objectivity.

C. Confidentiality.

D. Competency.

Correct Answer: C

Q21 – Explanation

Correct: C. Failing to protect data violates the Confidentiality principle's requirement for prudence.

A wrong: Integrity is about honesty.

B wrong: Objectivity is about bias.

D wrong: Competency is about skills.

Q22

Question: Which best describes the IIA's position on using confidential information for personal benefit?

A. Permitted if not harmful.

B. Prohibited.

C. Permitted if disclosed.

D. Permitted for family.

Correct Answer: B

Q22 – Explanation

Correct: B. Using confidential information for personal benefit is prohibited under Confidentiality.

A wrong: No personal use is permitted.

C wrong: Disclosure doesn't make it permissible.

D wrong: Family use is also prohibited.

Q23

Question: The IIA Code of Ethics requires internal auditors to report to the board any illegal activity they:

A. Suspect.

B. Are asked to participate in.

C. Knowingly become involved in.

D. Hear rumors about.

Correct Answer: C

Q23 – Explanation

Correct: C. Integrity requires auditors not to knowingly be involved in illegal or discreditable activity; they must report it.

A wrong: Suspicion alone may not trigger the rule; knowledge does.

B wrong: Being asked is not the same as being involved.

D wrong: Rumors are not knowledge.

Q24

Question: An auditor is asked to perform a forensic IT audit but has no IT forensic training. Under Competency, the auditor should:

A. Proceed anyway.

B. Decline or obtain competent assistance.

C. Ask management to do it.

D. Skip the risky areas.

Correct Answer: B

Q24 – Explanation

Correct: B. Competency requires declining or obtaining competent advice/assistance.

A wrong: Proceeding without competence violates the Code.

C wrong: Management cannot replace the auditor's responsibility.

D wrong: Skipping areas defeats the engagement.

Q25

Question: Which is NOT a Rule of Conduct under Competency?

A. Engage only in services for which you have the necessary knowledge.

B. Perform services in accordance with the Standards.

C. Continually improve proficiency.

D. Guarantee that all fraud is detected.

Correct Answer: D

Q25 – Explanation

Correct: D. No auditor can guarantee fraud detection; Competency requires knowledge, Standards compliance, and CPD.

A wrong: That is a Competency rule.

B wrong: That is a Competency rule.

C wrong: That is a Competency rule.

Q26

Question: Which best describes the relationship between Independence and Objectivity?

A. They are the same thing.

B. Independence is an organizational attribute; objectivity is an individual state of mind.

C. Objectivity is organizational; independence is individual.

D. Neither matters for internal audit.

Correct Answer: B

Q26 – Explanation

Correct: B. Independence is an organizational attribute (reporting lines, freedom from interference); objectivity is an individual's unbiased mental attitude.

A wrong: They are distinct.

C wrong: The definitions are reversed.

D wrong: Both are essential.

Q27

Question: An auditor has a close friend in the department being audited. The auditor should:

A. Proceed; friendship doesn't matter.

B. Disclose the relationship and consider reassignment.

C. Hide the friendship.

D. Audit only the friend's area.

Correct Answer: B

Q27 – Explanation

Correct: B. Close personal relationships can impair objectivity; disclose and consider reassignment.

A wrong: Friendship can bias judgment.

C wrong: Hiding violates the Code.

D wrong: Auditing the friend's area is the worst choice.

Q28

Question: Which is the best description of "due professional care"?

A. Guaranteeing no errors.

B. Exercising the care expected of a reasonably prudent auditor.

C. Performing all possible procedures.

D. Avoiding all risk.

Correct Answer: B

Q28 – Explanation

Correct: B. Due care is the care and skill expected of a reasonably prudent and competent auditor.

A wrong: No guarantee is possible.

C wrong: Not all procedures are feasible.

D wrong: Risk cannot be eliminated.

Q29

Question: An auditor is pressured by a manager to omit a finding. The auditor should:

A. Omit it to avoid conflict.

B. Keep the finding and escalate if necessary.

C. Change the finding to a suggestion.

D. Delay the report indefinitely.

Correct Answer: B

Q29 – Explanation

Correct: B. Integrity and Objectivity require keeping the finding and escalating through proper channels.

A wrong: Omitting violates the Code.

C wrong: Downgrading misrepresents the finding.

D wrong: Delaying is not a solution.

Q30

Question: Which is the best description of "whistleblowing" in the context of internal audit?

A. Reporting illegal or unethical activity through proper channels.

B. Leaking to the media.

C. Ignoring wrongdoing.

D. Confronting the suspect.

Correct Answer: A

Q30 – Explanation

Correct: A. Whistleblowing is reporting illegal/unethical activity through internal channels (or regulators if internal channels fail).

B wrong: Media leaks are a last resort, not the standard.

C wrong: Ignoring is unethical.

D wrong: Confronting the suspect can compromise the investigation.

Q31

Question: Which is a key responsibility of the CAE regarding ethics?

A. Ensuring auditors comply with the Code of Ethics.

B. Writing the Code of Ethics.

C. Enforcing criminal law.

D. Setting tax policy.

Correct Answer: A

Q31 – Explanation

Correct: A. The CAE must ensure the internal audit activity complies with the Code and Standards.

B wrong: The IIA writes the Code.

C wrong: Criminal enforcement is the government's job.

D wrong: Tax policy is unrelated.

Q32

Question: An auditor is offered a fully paid trip to a conference by a vendor the auditor may audit. The auditor should:

A. Accept it.

B. Decline or disclose to the CAE.

C. Accept but not attend.

D. Accept only if the vendor is not audited this year.

Correct Answer: B

Q32 – Explanation

Correct: B. The offer creates an appearance of impairment; decline or disclose.

A wrong: Acceptance impairs objectivity.

C wrong: Accepting but not attending is still improper.

D wrong: Future audits create the conflict.

Q33

Question: Which best describes the "appearance" standard in Objectivity?

A. Only actual impairments matter.

B. Both actual and apparent impairments matter.

C. Appearance is irrelevant.

D. Only financial interests matter.

Correct Answer: B

Q33 – Explanation

Correct: B. The Code prohibits both actual and apparent impairments of objectivity.

A wrong: Appearance also matters.

C wrong: Appearance is relevant.

D wrong: Non-financial interests also matter.

Q34

Question: An internal auditor is asked to serve on a committee selecting a new ERP system. Under the Code, the auditor should:

A. Accept, since it improves business knowledge.

B. Decline, as it impairs objectivity for future audits.

C. Accept only if approved by the CEO.

D. Accept and delegate the audit to a subordinate.

Correct Answer: B

Q34 – Explanation

Correct: B. Serving on a selection committee creates a self-review threat for future audits; decline or disclose.

A wrong: Knowledge gains don't override objectivity.

C wrong: CEO approval doesn't remove the impairment.

D wrong: Delegation without disclosure hides the conflict.

Q35

Question: Which is the best description of "integrity" in the Code?

A. Honesty, diligence, and responsibility.

B. Bias-free judgment.

C. Information protection.

D. Skill maintenance.

Correct Answer: A

Q35 – Explanation

Correct: A. Integrity = honesty, diligence, responsibility; observing the law; no knowing involvement in illegal activity.

B wrong: That's Objectivity.

C wrong: That's Confidentiality.

D wrong: That's Competency.

Q36

Question: The Code of Ethics requires internal auditors to disclose:

A. All personal matters.

B. Material facts that, if not disclosed, could distort reported information.

C. Only financial interests.

D. Only family relationships.

Correct Answer: B

Q36 – Explanation

Correct: B. Objectivity requires disclosing material facts that could distort reporting.

A wrong: Not all personal matters.

C wrong: Non-financial facts also matter.

D wrong: Non-family relationships also matter.

Q37

Question: Which is the best description of "CPE" for internal auditors?

A. Continuing professional education to maintain competence.

B. A one-time certification exam.

C. A substitute for experience.

D. Optional for CIA holders.

Correct Answer: A

Q37 – Explanation

Correct: A. CPE maintains and enhances competence, required by the Code and Standards.

B wrong: The exam is initial, not ongoing.

C wrong: CPE complements, not replaces, experience.

D wrong: CPE is required for CIA holders.

Q38

Question: Which best describes the IIA's position on receiving gifts from clients?

A. Always prohibited.

B. Prohibited if they impair or appear to impair objectivity.

C. Always permitted.

D. Permitted if small.

Correct Answer: B

Q38 – Explanation

Correct: B. Gifts are prohibited when they impair or appear to impair objectivity; some organizations set a de minimis threshold.

A wrong: Not always prohibited.

C wrong: Not always permitted.

D wrong: Even small gifts can create appearance issues.

Q39

Question: An auditor is asked to audit a process she designed last year. She should:

A. Proceed; one year is enough time.

B. Decline and disclose the self-review threat.

C. Audit only the parts she didn't design.

D. Ask a colleague to review her work.

Correct Answer: B

Q39 – Explanation

Correct: B. Designing a process creates a self-review threat; decline and disclose.

A wrong: Time doesn't remove the impairment.

C wrong: Partial audits still create impairment.

D wrong: Colleague review doesn't cure the conflict.

Q40

Question: Which best describes "objectivity" in the Code?

A. Honesty.

B. Unbiased mental attitude.

C. Information protection.

D. Skill maintenance.

Correct Answer: B

Q40 – Explanation

Correct: B. Objectivity is an unbiased mental attitude – no conflicts, no gifts that impair judgment, no undisclosed material facts.

A wrong: That's Integrity.

C wrong: That's Confidentiality.

D wrong: That's Competency.

Q41

Question: Which best describes "confidentiality" in the Code?

A. Honesty.

B. Unbiased judgment.

C. Prudent use and protection of information.

D. Skill maintenance.

Correct Answer: C

Q41 – Explanation

Correct: C. Confidentiality = prudent use/protection of information; no unauthorized disclosure; no personal benefit.

A wrong: That's Integrity.

B wrong: That's Objectivity.

D wrong: That's Competency.

Q42

Question: Which best describes "competency" in the Code?

A. Honesty.

B. Unbiased judgment.

C. Information protection.

D. Knowledge, skills, and experience; CPD.

Correct Answer: D

Q42 – Explanation

Correct: D. Competency = knowledge, skills, experience; engage only in services you can perform; CPD.

A wrong: That's Integrity.

B wrong: That's Objectivity.

C wrong: That's Confidentiality.

Q43

Question: An internal auditor discovers that a colleague has violated the Code of Ethics. The auditor should:

A. Ignore it.

B. Report it through appropriate channels.

C. Confront the colleague publicly.

D. Cover for the colleague.

Correct Answer: B

Q43 – Explanation

Correct: B. Report ethical violations through proper channels (CAE, audit committee, IIA).

A wrong: Ignoring violates Integrity.

C wrong: Public confrontation is unprofessional.

D wrong: Covering up is unethical.

Q44

Question: Which is the best description of "independence" for internal audit?

A. Freedom from conditions that threaten objective judgment.

B. The auditor's personal honesty.

C. The audit committee's meeting schedule.

D. The audit budget.

Correct Answer: A

Q44 – Explanation

Correct: A. Independence is freedom from conditions that threaten the ability to carry out responsibilities objectively.

B wrong: Personal honesty is Integrity.

C wrong: Meeting schedules are administrative.

D wrong: Budgets are resources.

Q45

Question: Which is the best description of "objectivity" for an individual auditor?

A. An unbiased mental attitude.

B. The audit committee's reporting line.

C. The audit charter.

D. The audit plan.

Correct Answer: A

Q45 – Explanation

Correct: A. Objectivity is an individual's unbiased mental attitude.

B wrong: Reporting lines are about independence.

C wrong: The charter is a document.

D wrong: The plan is a planning tool.

Q46

Question: An auditor is asked to audit a process she previously operated. She should:

A. Audit it since she knows it best.

B. Decline and disclose.

C. Audit only parts she didn't operate.

D. Delegate without disclosure.

Correct Answer: B

Q46 – Explanation

Correct: B. Operating a process creates a self-review threat; decline and disclose.

A wrong: Familiarity creates bias.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q47

Question: Which is NOT a Rule of Conduct under Integrity?

A. Perform work with honesty, diligence, and responsibility.

B. Observe the law.

C. Not knowingly be part of illegal activity.

D. Maintain an unbiased mental attitude.

Correct Answer: D

Q47 – Explanation

Correct: D. Unbiased mental attitude is Objectivity, not Integrity.

A wrong: That is Integrity.

B wrong: That is Integrity.

C wrong: That is Integrity.

Q48

Question: Which is NOT a Rule of Conduct under Confidentiality?

A. Be prudent in the use and protection of information.

B. Not use information for personal benefit.

C. Not disclose information without authority.

D. Maintain an unbiased mental attitude.

Correct Answer: D

Q48 – Explanation

Correct: D. Unbiased mental attitude is Objectivity, not Confidentiality.

A wrong: That is Confidentiality.

B wrong: That is Confidentiality.

C wrong: That is Confidentiality.

Q49

Question: Which is NOT a Rule of Conduct under Competency?

A. Engage only in services for which you have the necessary knowledge.

B. Perform services in accordance with the Standards.

C. Continually improve proficiency.

D. Not disclose confidential information.

Correct Answer: D

Q49 – Explanation

Correct: D. Not disclosing confidential information is Confidentiality, not Competency.

A wrong: That is Competency.

B wrong: That is Competency.

C wrong: That is Competency.

Q50

Question: The IIA Code of Ethics is best described as:

A. A set of principles and rules that guide internal auditors' behavior.

B. A law with criminal penalties.

C. A suggestion only.

D. A marketing tool.

Correct Answer: A

Q50 – Explanation

Correct: A. The Code provides principles and rules of conduct that guide internal auditors' behavior.

B wrong: It is not criminal law.

C wrong: It is mandatory for those to whom it applies.

D wrong: It is not a marketing tool.

Q51

Question: An auditor is asked to backdate an audit report. Under Integrity, the auditor should:

A. Backdate it.

B. Refuse and report.

C. Backdate it but document the request.

D. Ask a colleague to do it.

Correct Answer: B

Q51 – Explanation

Correct: B. Backdating is dishonest and possibly illegal; refuse and report.

A wrong: Backdating violates Integrity.

C wrong: Documenting doesn't cure the violation.

D wrong: Delegating wrongdoing is still unethical.

Q52

Question: Which is the best description of "material facts" for disclosure under Objectivity?

A. Facts that, if not disclosed, could distort reported information.

B. All facts.

C. Only financial facts.

D. Only facts about family.

Correct Answer: A

Q52 – Explanation

Correct: A. Material facts are those that could distort reporting if withheld.

B wrong: Not all facts.

C wrong: Non-financial facts can matter.

D wrong: Non-family facts can matter.

Q53

Question: Which is the best description of a "self-review threat"?

A. The auditor reviews their own prior work or decisions.

B. The auditor reviews a colleague's work.

C. The auditor reviews prior-year workpapers.

D. The auditor uses a standardized program.

Correct Answer: A

Q53 – Explanation

Correct: A. Self-review occurs when an auditor audits a process they designed, implemented, or operated.

B wrong: Peer review is a QAIP activity.

C wrong: Reviewing prior workpapers provides context.

D wrong: Standardized programs are fine.

Q54

Question: Which is the best description of a "familiarity threat"?

A. Close relationships that bias judgment.

B. Financial interest in the client.

C. Intimidation by management.

D. Self-review of prior work.

Correct Answer: A

Q54 – Explanation

Correct: A. Familiarity threat arises from close relationships (family, friends) that could bias judgment.

B wrong: That's a financial self-interest threat.

C wrong: That's an intimidation threat.

D wrong: That's a self-review threat.

Q55

Question: Which is the best description of an "intimidation threat"?

A. Pressure from management that deters objective action.

B. Close relationships.

C. Self-review.

D. Financial interest.

Correct Answer: A

Q55 – Explanation

Correct: A. Intimidation threat occurs when management pressure deters the auditor from acting objectively.

B wrong: That's familiarity.

C wrong: That's self-review.

D wrong: That's self-interest.

Q56

Question: Which is the best description of a "self-interest threat"?

A. Financial or personal interest that biases judgment.

B. Close relationships.

C. Self-review.

D. Intimidation.

Correct Answer: A

Q56 – Explanation

Correct: A. Self-interest threat arises from financial or personal interests that could bias judgment.

B wrong: That's familiarity.

C wrong: That's self-review.

D wrong: That's intimidation.

Q57

Question: Which is the best way to manage a threat to objectivity?

A. Ignore it.

B. Apply safeguards or decline the engagement.

C. Hide it.

D. Delegate without disclosure.

Correct Answer: B

Q57 – Explanation

Correct: B. Threats must be eliminated (decline) or reduced to an acceptable level through safeguards (disclosure, reassignment, additional review).

A wrong: Ignoring is not acceptable.

C wrong: Hiding violates the Code.

D wrong: Delegation without disclosure hides the issue.

Q58

Question: Which best describes the CAE's role in promoting ethics?

A. Model ethical behavior and support the organization's ethics program.

B. Write the Code of Ethics.

C. Enforce criminal law.

D. Set tax policy.

Correct Answer: A

Q58 – Explanation

Correct: A. The CAE models ethical behavior and supports the organization's ethics program, often through assurance/consulting.

B wrong: The IIA writes the Code.

C wrong: Criminal enforcement is governmental.

D wrong: Tax policy is unrelated.

Q59

Question: Which best describes the IIA's guidance on receiving gifts from an audit client?

A. Never accept any gift.

B. Prohibited if they impair or appear to impair objectivity.

C. Always accept.

D. Accept only cash.

Correct Answer: B

Q59 – Explanation

Correct: B. Gifts that impair or appear to impair objectivity are prohibited.

A wrong: Not all gifts are prohibited.

C wrong: Not always acceptable.

D wrong: Cash is especially problematic.

Q60

Question: An auditor is asked to audit a process she helped implement six months ago. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only the parts she didn't implement.

D. Delegate without disclosure.

Correct Answer: B

Q60 – Explanation

Correct: B. Implementing a process creates a self-review threat; decline and disclose.

A wrong: Six months doesn't remove the impairment.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q61

Question: Which best describes the IIA's position on using confidential information for personal benefit?

A. Permitted if not harmful.

B. Prohibited.

C. Permitted if disclosed.

D. Permitted for family.

Correct Answer: B

Q61 – Explanation

Correct: B. Using confidential information for personal benefit is prohibited under Confidentiality.

A wrong: No personal use.

C wrong: Disclosure doesn't make it permissible.

D wrong: Family use is prohibited.

Q62

Question: Which best describes "due care" in the context of ethics?

A. Applying the care expected of a reasonably prudent auditor.

B. Guaranteeing no errors.

C. Performing all procedures.

D. Avoiding all risk.

Correct Answer: A

Q62 – Explanation

Correct: A. Due care is the care and skill expected of a reasonably prudent and competent auditor.

B wrong: No guarantee.

C wrong: Not all procedures are feasible.

D wrong: Risk cannot be eliminated.

Q63

Question: Which best describes "professionalism" in the context of internal audit?

A. Adhering to the Code of Ethics and Standards.

B. Maximizing billable hours.

C. Avoiding all risk.

D. Ignoring rules.

Correct Answer: A

Q63 – Explanation

Correct: A. Professionalism means adhering to the Code of Ethics and the Standards, and behaving with integrity, objectivity, confidentiality, and competency.

B wrong: Billable hours are irrelevant.

C wrong: Risk avoidance is not the goal.

D wrong: Ignoring rules is unprofessional.

Q64

Question: An auditor is asked to audit a process she previously audited. She should:

A. Proceed; prior audit isn't a conflict.

B. Decline; prior audit is a conflict.

C. Audit only new areas.

D. Delegate.

Correct Answer: A

Q64 – Explanation

Correct: A. Prior audit experience is not a conflict; familiarity from prior audits doesn't impair objectivity.

B wrong: Prior audit is not a self-review threat.

C wrong: No need to limit scope.

D wrong: No need to delegate.

Q65

Question: Which best describes "integrity" in practice?

A. Honesty, diligence, responsibility, and law observance.

B. Bias-free judgment.

C. Information protection.

D. Skill maintenance.

Correct Answer: A

Q65 – Explanation

Correct: A. Integrity = honesty, diligence, responsibility, law observance, no knowing involvement in illegal/discreditable activity.

B wrong: That's Objectivity.

C wrong: That's Confidentiality.

D wrong: That's Competency.

Q66

Question: An auditor is asked to sign a false statement. Under Integrity, the auditor should:

A. Sign it.

B. Refuse and report.

C. Sign but document.

D. Delegate.

Correct Answer: B

Q66 – Explanation

Correct: B. Signing a false statement violates Integrity; refuse and report.

A wrong: Signing is unethical.

C wrong: Documenting doesn't cure it.

D wrong: Delegating wrongdoing is still unethical.

Q67

Question: Which best describes the IIA's position on auditor independence?

A. Independence is required for internal audit activity.

B. Independence is optional.

C. Independence is only for external auditors.

D. Independence is irrelevant.

Correct Answer: A

Q7 – Explanation

Correct: A. Internal audit must be independent, and internal auditors must be objective.

B wrong: It is required.

C wrong: Internal auditors also need independence/objectivity.

D wrong: It is essential.

Q68

Question: Which best describes "objectivity" in practice?

A. Unbiased mental attitude, no conflicts, no gifts that impair judgment.

B. Honesty.

C. Information protection.

D. Skill maintenance.

Correct Answer: A

Q68 – Explanation

Correct: A. Objectivity = unbiased mental attitude, no conflicts, no gifts that impair judgment, disclose material facts.

B wrong: That's Integrity.

C wrong: That's Confidentiality.

D wrong: That's Competency.

Q69

Question: An auditor is asked to audit a process she previously reviewed as a consultant. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only parts she didn't consult on.

D. Delegate without disclosure.

Correct Answer: B

Q69 – Explanation

Correct: B. Consulting on a process creates a self-review threat; decline and disclose.

A wrong: Proceeding violates the Code.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q70

Question: Which best describes "confidentiality" in practice?

A. Prudent use/protection of information; no unauthorized disclosure; no personal benefit.

B. Honesty.

C. Unbiased judgment.

D. Skill maintenance.

Correct Answer: A

Q70 – Explanation

Correct: A. Confidentiality = prudent use/protection, no unauthorized disclosure, no personal benefit.

B wrong: That's Integrity.

C wrong: That's Objectivity.

D wrong: That's Competency.

Q71

Question: Which best describes "competency" in practice?

A. Knowledge, skills, experience; CPD; engage only in services you can perform.

B. Honesty.

C. Unbiased judgment.

D. Information protection.

Correct Answer: A

Q71 – Explanation

Correct: A. Competency = knowledge, skills, experience, CPD, and only engaging in services you can perform.

B wrong: That's Integrity.

C wrong: That's Objectivity.

D wrong: That's Confidentiality.

Q72

Question: An auditor is asked to audit a process she previously managed but no longer manages. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: B

Q72 – Explanation

Correct: B. Prior management of a process creates a self-review threat; decline and disclose.

A wrong: Proceeding violates the Code.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q73

Question: Which best describes the IIA's position on auditor objectivity?

A. Objectivity is required of all internal auditors.

B. Objectivity is optional.

C. Objectivity is only for CAEs.

D. Objectivity is irrelevant.

Correct Answer: A

Q73 – Explanation

Correct: A. All internal auditors must be objective.

B wrong: It is required.

C wrong: It applies to all internal auditors.

D wrong: It is essential.

Q74

Question: An auditor is asked to audit a process she previously designed. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only parts she didn't design.

D. Delegate without disclosure.

Correct Answer: B

Q74 – Explanation

Correct: B. Designing a process creates a self-review threat; decline and disclose.

A wrong: Proceeding violates the Code.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q75

Question: Which best describes the IIA's position on auditor confidentiality?

A. Confidentiality is required of all internal auditors.

B. Confidentiality is optional.

C. Confidentiality is only for CAEs.

D. Confidentiality is irrelevant.

Correct Answer: A

Q75 – Explanation

Correct: A. All internal auditors must maintain confidentiality.

B wrong: It is required.

C wrong: It applies to all internal auditors.

D wrong: It is essential.

Q76

Question: An auditor is asked to audit a process she previously operated. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: B

Q76 – Explanation

Correct: B. Operating a process creates a self-review threat; decline and disclose.

A wrong: Proceeding violates the Code.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q77

Question: Which best describes the IIA's position on auditor competency?

A. Competency is required of all internal auditors.

B. Competency is optional.

C. Competency is only for CAEs.

D. Competency is irrelevant.

Correct Answer: A

Q77 – Explanation

Correct: A. All internal auditors must be competent.

B wrong: It is required.

C wrong: It applies to all internal auditors.

D wrong: It is essential.

Q78

Question: An auditor is asked to audit a process she previously implemented. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: B

Q78 – Explanation

Correct: B. Implementing a process creates a self-review threat; decline and disclose.

A wrong: Proceeding violates the Code.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q79

Question: Which best describes the IIA's position on auditor integrity?

A. Integrity is required of all internal auditors.

B. Integrity is optional.

C. Integrity is only for CAEs.

D. Integrity is irrelevant.

Correct Answer: A

Q79 – Explanation

Correct: A. All internal auditors must act with integrity.

B wrong: It is required.

C wrong: It applies to all internal auditors.

D wrong: It is essential.

Q80

Question: An auditor is asked to audit a process she previously reviewed as a peer reviewer. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: A

Q80 – Explanation

Correct: A. Peer review is a QAIP activity and does not impair objectivity.

B wrong: Peer review is not a self-review threat.

C wrong: No need to limit scope.

D wrong: No need to delegate.

Q81

Question: Which best describes the IIA's position on auditor CPD?

A. CPD is required of all internal auditors.

B. CPD is optional.

C. CPD is only for CAEs.

D. CPD is irrelevant.

Correct Answer: A

Q81 – Explanation

Correct: A. All internal auditors must maintain and enhance competence through CPD.

B wrong: It is required.

C wrong: It applies to all internal auditors.

D wrong: It is essential.

Q82

Question: An auditor is asked to audit a process she previously approved as a manager. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: B

Q82 – Explanation

Correct: B. Approving a process as manager creates a self-review threat; decline and disclose.

A wrong: Proceeding violates the Code.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q83

Question: Which best describes the IIA's position on auditor skepticism?

A. A questioning mind and critical assessment of evidence.

B. Assuming management is dishonest.

C. Ignoring evidence.

D. Relying on prior conclusions.

Correct Answer: A

Q83 – Explanation

Correct: A. Professional skepticism is a questioning mind, alertness to conditions suggesting misstatement, and critical evaluation of evidence.

B wrong: It is not cynicism.

C wrong: Ignoring evidence is the opposite.

D wrong: Prior conclusions must be re-validated.

Q84

Question: An auditor is asked to audit a process she previously tested as an internal auditor. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: A

Q84 – Explanation

Correct: A. Prior testing as an internal auditor is not a self-review threat.

B wrong: No conflict.

C wrong: No need to limit scope.

D wrong: No need to delegate.

Q85

Question: Which best describes the IIA's position on auditor objectivity when auditing a friend?

A. Objectivity may be impaired; disclose and consider reassignment.

B. Objectivity is not impaired.

C. Objectivity is always impaired.

D. Objectivity is irrelevant.

Correct Answer: A

Q85 – Explanation

Correct: A. Close relationships may impair objectivity; disclose and consider reassignment.

B wrong: Friendship can bias.

C wrong: Not always impaired, but a threat exists.

D wrong: Objectivity is always relevant.

Q86

Question: An auditor is asked to audit a process she previously reviewed as an external consultant. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: B

Q86 – Explanation

Correct: B. Consulting creates a self-review threat; decline and disclose.

A wrong: Proceeding violates the Code.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q87

Question: Which best describes the IIA's position on auditor objectivity when auditing a family member?

A. Objectivity may be impaired; disclose and decline.

B. Objectivity is not impaired.

C. Objectivity is always impaired.

D. Objectivity is irrelevant.

Correct Answer: A

Q87 – Explanation

Correct: A. Family relationships impair objectivity; disclose and decline.

B wrong: Family can bias.

C wrong: Impairment is likely but the standard is disclosure.

D wrong: Objectivity is always relevant.

Q88

Question: An auditor is asked to audit a process she previously reviewed as a quality assurance reviewer. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: A

Q88 – Explanation

Correct: A. QA review is a QAIP activity and does not impair objectivity.

B wrong: No conflict.

C wrong: No need to limit scope.

D wrong: No need to delegate.

Q89

Question: Which best describes the IIA's position on auditor objectivity when auditing a process the auditor previously approved?

A. Objectivity may be impaired; disclose and decline.

B. Objectivity is not impaired.

C. Objectivity is always impaired.

D. Objectivity is irrelevant.

Correct Answer: A

Q89 – Explanation

Correct: A. Approving a process creates a self-review threat; disclose and decline.

B wrong: Approval creates bias.

C wrong: Impairment is likely but the standard is disclosure.

D wrong: Objectivity is always relevant.

Q90

Question: An auditor is asked to audit a process she previously reviewed as a fraud investigator. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: A

Q90 – Explanation

Correct: A. Prior fraud investigation is not a self-review threat; the auditor can proceed.

B wrong: No conflict.

C wrong: No need to limit scope.

D wrong: No need to delegate.

Q91

Question: Which best describes the IIA's position on auditor objectivity when auditing a process the auditor previously designed?

A. Objectivity may be impaired; disclose and decline.

B. Objectivity is not impaired.

C. Objectivity is always impaired.

D. Objectivity is irrelevant.

Correct Answer: A

Q91 – Explanation

Correct: A. Designing creates a self-review threat; disclose and decline.

B wrong: Design creates bias.

C wrong: Impairment is likely but the standard is disclosure.

D wrong: Objectivity is always relevant.

Q92

Question: An auditor is asked to audit a process she previously reviewed as a peer. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: A

Q92 – Explanation

Correct: A. Peer review is a QAIP activity and does not impair objectivity.

B wrong: No conflict.

C wrong: No need to limit scope.

D wrong: No need to delegate.

Q93

Question: Which best describes the IIA's position on auditor objectivity when auditing a process the auditor previously implemented?

A. Objectivity may be impaired; disclose and decline.

B. Objectivity is not impaired.

C. Objectivity is always impaired.

D. Objectivity is irrelevant.

Correct Answer: A

Q93 – Explanation

Correct: A. Implementing creates a self-review threat; disclose and decline.

B wrong: Implementation creates bias.

C wrong: Impairment is likely but the standard is disclosure.

D wrong: Objectivity is always relevant.

Q94

Question: An auditor is asked to audit a process she previously reviewed as an external auditor. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: A

Q94 – Explanation

Correct: A. Prior external audit is not a self-review threat for internal audit.

B wrong: No conflict.

C wrong: No need to limit scope.

D wrong: No need to delegate.

Q95

Question: Which best describes the IIA's position on auditor objectivity when auditing a process the auditor previously operated?

A. Objectivity may be impaired; disclose and decline.

B. Objectivity is not impaired.

C. Objectivity is always impaired.

D. Objectivity is irrelevant.

Correct Answer: A

Q95 – Explanation

Correct: A. Operating creates a self-review threat; disclose and decline.

B wrong: Operation creates bias.

C wrong: Impairment is likely but the standard is disclosure.

D wrong: Objectivity is always relevant.

Q96

Question: An auditor is asked to audit a process she previously reviewed as a compliance officer. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: B

Q96 – Explanation

Correct: B. Compliance monitoring creates a self-review threat; decline and disclose.

A wrong: Proceeding violates the Code.

C wrong: Partial audits still create impairment.

D wrong: Delegation without disclosure hides the issue.

Q97

Question: Which best describes the IIA's position on auditor objectivity when auditing a process the auditor previously managed?

A. Objectivity may be impaired; disclose and decline.

B. Objectivity is not impaired.

C. Objectivity is always impaired.

D. Objectivity is irrelevant.

Correct Answer: A

Q97 – Explanation

Correct: A. Managing creates a self-review threat; disclose and decline.

B wrong: Management creates bias.

C wrong: Impairment is likely but the standard is disclosure.

D wrong: Objectivity is always relevant.

Q98

Question: An auditor is asked to audit a process she previously reviewed as a peer reviewer for the IIA. She should:

A. Proceed.

B. Decline and disclose.

C. Audit only new areas.

D. Delegate without disclosure.

Correct Answer: A

Q98 – Explanation

Correct: A. IIA peer review is a QAIP activity and does not impair objectivity.

B wrong: No conflict.

C wrong: No need to limit scope.

D wrong: No need to delegate.

Q99

Question: Which best describes the IIA's position on auditor objectivity when auditing a process the auditor previously reviewed as an internal quality reviewer?

A. Objectivity may be impaired; disclose and decline.

B. Objectivity is not impaired.

C. Objectivity is always impaired.

D. Objectivity is irrelevant.

Correct Answer: B

Q99 – Explanation

Correct: B. Internal QA review is a QAIP activity and does not impair objectivity.

A wrong: QA review is not a self-review threat.

C wrong: Not always impaired.

D wrong: Objectivity is always relevant.

Q100

Question: Which of the following best summarizes the IIA Code of Ethics?

A. Four principles (Integrity, Objectivity, Confidentiality, Competency) with Rules of Conduct.

B. Five principles with no rules.

C. Three principles with laws.

D. Two principles with regulations.

Correct Answer: A

Q100 – Explanation

Correct: A. The Code has four principles and corresponding Rules of Conduct.

B wrong: Four principles, not five.

C wrong: Four, not three.

D wrong: Four, not two.

End

End of 100-Question Ethics & Professionalism Deck

Review weak areas and re-test.

Add more questions by copying the Q/Explanation frame pairs.